

Ankush Gupta vs Baljeet Singh And Ans on 3 February, 2025

CS SCJ 85068/16

ANKUSH GUPTA VS. BALJEET SINGH AND ANS.

IN THE COURT OF SH. ANUBHAV SHARMA, CIVIL
JUDGE-01 (SOUTH) SAKET COURT, NEW DELHI

Civil Suit No :- 85068/16
CNR No :- DLST03-002226-2016

ANKUSH GUPTA
Prop. M/s Bath Interior and Decorators
S/o Sh. Arun Gupta
R/o D-86, Hauz Khas,
Hauz Khas Enclave,
New Delhi

.....PLAINTIFF

VERSUS

1. SH. BALJEET SINGH
R/o H.No. L-41A
Kalkaji,
New Delhi-17.

.....DEFENDANT NO. 1

2. I P INTERIORS
R/o H.No. L-41A
Kalkaji,
New Delhi-17.

.....DEFENDANT NO. 2

Date of Institution	:	20.12.2016
Date of Decision	:	03.02.2025
Date of framing of issues	:	05.02.2020
Date of final arguments	:	16.12.2024
Decision	:	DECREED

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(Anubhav Sharma)
CJ-01/(South) Saket Court/New Delhi
CS SCJ 85068/16

ANKUSH GUPTA VS. BALJEET SINGH AND ANS.

SUIT FOR RECOVERY OF RS. 89,746/- ALONGWITH
FUTURE AND PENDENT-LITE INTEREST @ 24% FROM
THE DATE OF FILING OF SUIT TILL THE DATE OF
ACTUAL REALIZATION OF THE OUTSTANDING
AMOUNT DUE AND PAYABLE BY THE DEFENDANT(S)
TO THE PLAINTIFF

JUDGMENT :

1. This is a suit for recovery of Rs. 89,746/- alongwith pendente-lite and future interest @ 24% from the date of filing of the suit till the date of actual realization of the outstanding amount due and payable by the defendants to the plaintiff.

2. Pertinent to mention that originally, the suit was filed under Order XXXVII of Code of Civil Procedure, however, vide order dated 20.12.2019 passed by Ld. Predecessor of this court, the application for leave to defend was allowed. AVERMENTS OF THE PLAINT:-

3. Briefly, it is the case of the plaintiff that plaintiff is the prop of M/s Bath Interior and Decorators and is running his shop at D-86, Hauz Khas, Main Market, New Delhi-16. It is averred that plaintiff is engaged in the business of sale of tiles and sanitary items and is represented by its sole proprietor Sh. Ankush Gupta. It is averred that upon persuasion, inducement and assurances by the defendants, plaintiff agreed to supply the goods on credit basis which was to be paid for within few days after the delivery. It is averred that defendant no. 1 namely Baljeet Singh acts and for behalf of defendant no. 2 company. It is averred that defendant no. 1 ordered goods according to his ANUBHAV SHARMA SHARMA Date:

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requirement which were duly delivered to him against invoices i.e. invoice bearing no. 1913 dated 16.11.2014 for an amount of Rs. 84,189/- and invoice bearing no. 1916 dated 19.11.2014 for an amount of Rs. 5,557/- totaling to Rs. 89,746/-.

4. It is averred that plaintiff has repeatedly requested defendant no. 1 and 2 to pay the legal and bonafide balance outstanding amount in terms of invoices and delivery challans to which, they repeatedly assured and promised to make the outstanding amount. It is averred that in discharge of the liability, defendant no. 1 issued a cheque bearing no. 367784 dated 30.12.2014 for an amount of

Rs. 60,000/- towards partial settlement amount due under the invoices bearing no. 1913 and 1916 and further agreed to pay the remaining amount of Rs. 29,746/- at a later date. It is averred that on the said cheque, nowhere it was written that the cheque is a security cheque. It is averred that upon presentment of said cheque, same was returned dishonoured with remarks "funds insufficient". It is averred that defendants have deliberately, mischievously and with malafide intention, cheated the plaintiff. It is averred that a criminal case bearing no. 1788/15 has also been initiated u/S 138/141 NI Act, 1881 in the court of Ld. MM, Saket Court against the defendants.

5. It is averred that original invoice no. 1913 and 1916 for an amount of Rs. 89,746/- were supplied to the defendants through registered post and original postal receipts. It is further averred that the plaintiff has also maintained a ledger account/ sales register/ VAT return of the defendants. Consequently, a ANUBHAV SHARMA SHARMA Date:

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legal notice dated 23.01.2015 was issued upon the defendants. Despite receipt of same, defendants neither replied nor cleared the outstanding amount. Having left with no other option, present suit has been filed seeking following reliefs:-

- (i) To pass a decree in favour of plaintiff and against the defendants for a sum of Rs. 89,746/- along with pendente lite and future interest @ 24% p.a. from the date of filing of the present suit till the actual and final realization of the decretal amount;
- (ii) Cost of the suit; and
- (iii) Any other relief.

AVERMENTS OF THE WRITTEN STATEMENT:-

6. Per contra, it is stated by defendants that present suit is not maintainable as same is devoid of merits and for want of cause of action as the plaintiff sought recovery of amount on the basis of cheque. It is stated that plaintiff has already recovered the cheque amount in the proceedings initiated by the plaintiff against the defendants under Section 138 NI Act and the defendants had already paid a sum of Rs. 90,000/- to the plaintiff. It is stated that plaintiff has concealed the material facts from this court. It is further stated that the present suit is liable to be dismissed as there is no proper authorization/ resolution in favour of alleged authorized representatives of the plaintiff. It is stated that the delivery challans relied upon by the plaintiff are forged and fabricated documents. It is further stated that the said challans had no concerned with the statement of account and ANUBHAV SHARMA SHARMA Date:

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ledger account filed by the plaintiff. It is stated that plaintiff has completely failed to show as to how the defendants are liable to pay a sum of Rs. 89,746/- to the plaintiff. It is stated that plaintiff has filed the present suit on the basis of forged and fabricated invoices. It is further stated that plaintiff never supplied the alleged goods to the defendants. All the other averments of the plaintiff have been denied and it is prayed that present suit is liable to be dismissed.

REPLICATION:-

7. In replication, averments of the plaint have been reiterated and contents of the written statement have been denied. ISSUES:-

8. From the pleadings of the parties, following issues were framed by Ld. Predecessor of this court vide order dated 05.02.2020:-

(i) Whether the plaintiff supplied goods worth Rs.

89,746/- to the defendants against invoices dated 16.11.14 and 19.11.14? OPP

(ii) Whether the defendants have illegally refused to pay the said amount of Rs. 89,746/- to the plaintiff? OPP

(iii) Whether the plaintiff is entitled to the recovery of Rs. 89,746/- towards the payment of principal amount? OPP ANUBHAV SHARMA Date:

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(iv) Whether the plaintiff is entitled to pendente lite and future interest on the said amount of Rs. 89,746/-? If yes, at what rate? OPP

(v) Relief.

PLAINTIFF EVIDENCE:-

9. To prove his case, plaintiff himself stepped into the witness box as PW-1 and tendered his affidavit as Ex. PW1/A and placed reliance upon the following documents:

(i) Mark PW1/1 i.e. Criminal complaint;

(ii) Ex. PW1/2 i.e. Postal receipt dated 12.01.2015;

(iii) Ex. PW1/3 i.e. Ledger statement;

(iv) Mark PW1/4 i.e. Sales register;

(v) Mark PW1/5 i.e. Vat return;

(vi) Mark PW1/6 i.e. Balance sheet;

(vii) Mark PW1/6.1 i.e. Income tax return;

(viii) Ex. PW1/7 i.e. Delivery Challans;

(ix) Ex. PW1/8 i.e. Legal notice;

(x) Mark PW1/9 i.e. Invoice no. 1913;

(xi) Mark PW1/10 i.e. Invoice no. 1916; and

(xii) Mark PW1/11 i.e. Copy of bounce cheque.

10. PW1 was cross-examined by the defendants' counsel. During the cross-examination, PW1 stated that he did not know the defendant before the bills in question were raised. He mentioned that the defendant came to him through a reference from Mr. Div Jain. He was unable to recall the number of times the defendant called to place orders, but stated that the orders ANUBHAV SHARMA SHARMA Date:

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were placed over the phone, both on his landline and mobile. He also mentioned that he did not remember how the goods were delivered to the defendant because many years had passed since then.

11. Regarding the delivery challans (Ex. PW1/7), PW1 stated that he had been verbally or telephonically authorized by the defendant to deliver goods to his employee but had no proof of this authorization. However, he denied that a person named Deepak was not an employee of the defendant, and he also denied that the invoices and delivery challans were forged. He confirmed that the signatures on page 7 of Ex. PW1/7 belonged to the defendant. He explained that page 7 only described goods delivered, not goods returned, and did not include the addresses of either his or the defendant's firm, though it mentioned Kalkaji, which is the defendant's address.

12. PW1 also mentioned that page 13 of Ex. PW1/7 listed the defendant's name, signatures, and address. However, it did not show the address of either his or the defendant's firm. He further stated that he had only learned about the defendant's firm after the defendant issued a cheque. Before that, he had been dealing with the defendant personally.

13. PW1 explained that he had filed a criminal complaint under Section 138 of the Negotiable Instruments Act against the defendant, which was decided in his favor on 01.07.2017 by Ms. Rajat Goyal, MM, Saket Court (Ex. PW1/D1). PW1 stated that he filed the complaint based on the ANUBHAV SHARMA SHARMA Date:

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cheque Ex. PW1/4 mentioned on 16.05.2023 in his evidence affidavit. He also confirmed receiving Rs. 90,000 from the defendant in that case. He mentioned that documents Sale register, Vat return and income tax return were filed following state protocols and could not have been tampered with or created retroactively.

14. PW1 denied any liability against the defendant and stated that he could not confirm at that stage whether he had supplied goods to the defendant, except for invoices no. 1913 and 1916 same was exhibited as (Ex PW1/9 & PW1/10 on 16-05-

2023). PW1's cross-examination concluded on 06.01.2024. Following that, the plaintiff's evidence was closed on 06.01.2024 as well.

DEFENDANT EVIDENCE:-

15. In support of its case, Defendant No. 1 was examined as DW-1 and submitted his affidavit of evidence as Ex. DW1/A.

16. DW-1 was cross-examined by the plaintiff's counsel.

During the cross-examination, he stated that his address is L-41, Kalkaji, New Delhi. He mentioned that he knows Mr. Ankush Gupta through his architect, Mr. Dev, but he does not have any business transactions with Ankush Gupta. He clarified that Ankush Gupta is in the tile business, while he himself is in the interior business. He stated that he placed verbal orders for goods in his business, and the payment for these goods was made in cash. He acknowledged that the cheque, Ex. PW1/4, bears his ANUBHAV SHARMA SHARMA Date:

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signature, and that he filled in the amount in both words and numbers. However, he stated that the payee name and the date were not filled by him. DW-1 explained that

the cheque was a security cheque, and that Ankush Gupta asked him for it before starting any business relationship. He further mentioned that the cheque was to be used if he failed to make payment after receiving the goods.

17. DW-1 stated that no purchase order was given to Ankush Gupta. He denied that he signed the delivery challans dated 29.08.2014 and 25.09.2014 (Ex. PW1/7). He also stated that he files income tax and business returns, but he did not submit those returns in court. He claimed that he did not receive the legal demand notice from the plaintiff. He confirmed issuing a cheque of Rs. 90,000 to the plaintiff on 10.08.2017, in accordance with a judgment passed on 10.07.2017 by the Ld. MM-01, Saket Courts, under the Negotiable Instruments Act.

DW-1's cross-examination concluded on 10.05.2024. After that, the defence counsel made a separate statement, and the defence evidence was closed on 10.05.2024. The matter was then listed for final arguments.

FINAL ARGUMENTS:-

18. Final arguments advanced by both parties were heard on 16.12.2024.

19. During arguments, Ld. counsel for the plaintiff has relied upon the following judgments in support of her case namely: (1) State of Karnataka Vs. T. Naseer@ Nasir@ ANUBHAV SHARMA SHARMA 2025.02.03 Page no. 9 of 16 17:36:09 +0530 (Anubhav Sharma) CJ□b1/(South) Saket Court/New Delhi ANKUSH GUPTA VS. BALJEET SINGH AND ANS.

Thandiantavida Naseer @ Umarhazi @ Hazi & Ors of Hon'ble Supreme Court of India (2) M/s Flint Group India Pvt. Limited Vs. M/s Good Morning India, CM(M) 369/2017 (3) Flick Studios Pvt. Ltd. Vs. Gravity Engineers Pvt. Ltd. CM(M) 1185/2021 (4) Minerals & Metals Trading Corporation Vs. Dimple Overseas Ltd. AIR 2001, Delhi 427 (5) Kailash Vs. Arjun Singh & Ors. M.CR.C. NO.57102/2021.

20. The file has been carefully and minutely perused. and my issue-wise findings with reasons thereof are as under: -

Whether the plaintiff supplied goods worth Rs. 89,746/- to the defendants against invoices dated 16.11.14 and 19.11.14? OPP

21. The burden of proving this issue lies with the plaintiff. The plaintiff testified in his examination in chief that goods worth Rs. 89,746/- were supplied to the defendant based on a verbal order. He mentioned that the defendant issued a cheque of Rs. 60,000/- as part-payment for the goods. However, the cheque was dishonored, and despite a legal notice, the defendant did not respond, which led to this suit.

22. During cross-examination, the plaintiff maintained that the goods were delivered and the cheque was part-payment, not a security cheque. On the other hand, the defendant (DW1) admitted that he places a verbal order for goods in his business and knew the plaintiff. He confirmed that he gave the cheque (Ex. PW1/4) (However, the exhibit PW1/11 was wrongly mentioned on certified copy of cheque on 16.05.2023. But as ANUBHAV SHARMA SHARMA Date:

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per the cross-examination of PW1 conducted on 16.05.2023, the same is exhibited as Ex. PW1/4. Hence, it is treated as "Ex. PW1/4" for further reference.) to the plaintiff for the security purpose of business transaction and acknowledged his signatures on it. However, the defendant did not provide any evidence to support his claim that the cheque was a security cheque.

23. Upon reviewing the evidence presented by the plaintiff, including the certified copy of the criminal complaint (Ex. PW1/D1), invoices (Ex. PW1/9 and PW1/10), and delivery challans (Ex. PW1/7), as well as the defendant's admissions during cross-examination, it is clear that the goods were indeed supplied to the defendant. The goods were delivered to the defendant's representatives, and the delivery challans serve as proof of receipt.

24. The defendant failed to provide any concrete evidence or documentation to dispute the delivery of goods. His general denials is not enough to challenge the plaintiff's evidence.

25. Therefore, this issue is decided in favor of the plaintiff, as the plaintiff has successfully proven that goods worth Rs. 89,746/- were supplied to the defendant.

Whether the defendants have illegally refused to pay the said amount of Rs. 89,746/- to the plaintiff? OPP ANUBHAV SHARMA Date:

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26. The burden of proof in this matter lies with the plaintiff. The plaintiff has provided invoices Ex. PW1/9 and Ex. PW 1/10, delivery challans Ex. PW1/7, ledger accounts Ex. PW1/3 and the legal notice marked as Ex. PW1/8, all of which support the claim that the goods were delivered and payment was due.

27. In its considered opinion, the court deems that the cheque marked as Ex. PW1/4 was issued by the defendant as partial payment and also as an acknowledgment of debt. The cheque was subsequently dishonoured. The defendant, however, contends that the cheque was issued as a security cheque. Nevertheless, the defendant has failed to provide any substantial evidence to substantiate this claim. As the defendant has refused to fulfill their legal obligation without a valid

reason and has not responded to the plaintiff's legal notice, such refusal to pay is deemed illegal.

28. Therefore, this issue is decided in favor of the plaintiff and against the defendant. The defendant has unlawfully refused to pay the amount of Rs. 89,746/- to the plaintiff.

Whether the plaintiff is entitled to the recovery of Rs. 89,746/-

towards the payment of principal amount? OPP

29. The burden of proof in this case lies with the plaintiff. The plaintiff has shown that the goods were delivered, and the defendant failed to pay for them. The defendant issued a cheque ANUBHAV SHARMA SHARMA Date:

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for Rs. 60,000/-, which was dishonored due to insufficient funds, indicating an intention to pay the debt but an inability to do so.

30. The defendant's claim that the cheque was issued as a security, rather than as payment, is unsupported, as there is no written agreement or evidence to support this. The dishonored cheque further strengthens the plaintiff's claim that it was meant as part-payment for the goods.

31. Additionally, the plaintiff presented evidence (Ex. PW1/D1) that a criminal case was filed under Section 138 of the Negotiable Instruments Act, and the defendant was convicted and directed to pay Rs 90,000/- as compensation to the plaintiff. This supports the plaintiff's claim that the cheque was issued as payment for the debt. Furthermore, the defendant failed to respond to the plaintiff's legal notice and did not provide a valid defense, making the plaintiff's version more credible.

32. Therefore, this issue is decided in favor of the plaintiff and against the defendant. the plaintiff is entitled to recover the full amount of Rs. 89,746/- for the goods supplied.

33. However, the defendant has already paid Rs. 90,000/- as compensation under the N.I. Act case (Section 138 of the Negotiable Instruments Act), which the plaintiff admitted during his cross-examination. This payment likely relates to the dishonored cheque and the same transaction.

34. The main issue in this case is the recovery of Rs. 89,746/- for the goods supplied. Since the N.I. Act court determined that Rs. 90,000/- was paid as compensation, this ANUBHAV SHARMA SHARMA Date:

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amount can be set off against the amount claimed in the civil suit by the plaintiff. The plaintiff cannot claim the same amount twice as it would amount to unjust enrichment. Therefore, the payment of Rs. 90,000/- should be considered, and since this amount exceeds the principal sum of Rs. 89,746/-, the plaintiff cannot recover any more for the price of goods supplied to the defendant.

35. However, the compensation under the N.I. Act case may not include any interest claimed in this case. This issue will need to be addressed separately.

Whether the plaintiff is entitled to pendente lite and future interest on the said amount of Rs. 89,746/-? If yes, at what rate? OPP

36. The burden to prove this issue is upon the plaintiff. The plaintiff has claimed pendente lite (interest during the pendency of the suit) and future interest on the amount of Rs. 89,746/- at a rate of 24% per annum from the date of filing the suit till the actual realization of the amount.

37. Section 34 of the Code of Civil Procedure allows the court to grant interest on the principal sum due, at such rate as it thinks fit, during the pendency of the suit and until the realization of the amount. However, the rate of interest should be reasonable and justified under the circumstances.

38. In the present case, the plaintiff claims that a rate of 24% is justified based on the business transactions between the ANUBHAV SHARMA SHARMA 2025.02.03 Page no. 14 of 16 17:36:35 +0530 (Anubhav Sharma) CJ□1/(South) Saket Court/New Delhi ANKUSH GUPTA VS. BALJEET SINGH AND ANS.

parties and the nature of the debt. However, considering that the commercial rate of interest in similar cases typically ranges between 6-10 % per annum, the rate of 24% may be deemed excessive unless backed by specific terms in the agreement or previous dealings.

39. The plaintiff is entitled to pendente lite and future interest. However, the rate of 24% per annum appears too high and unreasonable. A rate of 7 % per annum is reasonable in the absence of an agreement stipulating a higher rate.

40. The plaintiff is entitled to pendente lite and future interest on the amount of Rs. 89,746/- at the rate of 7 % per annum from the date of filing the suit till the actual realization of the amount.

Relief.

41. For the reasons discussed above, the suit is decreed with the following relief i.e. the defendants are directed to pay pendente lite and future interest at the rate of 7% per annum on the principal amount of Rs. 89,746/-, from the date of filing the suit until the full realization of the interest amount. However, the principal amount of Rs. 89,746/- has already been set off against the compensation of Rs. 90,000/- paid by the defendant to the plaintiff. Therefore, the plaintiff cannot

recover principal amount again from the defendant

42. No order as to cost.

43. Let decree sheet be drawn up accordingly.

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44. File be consigned to record room after due compliance. Digitally signed by ANUBHAV ANUBHAV SHARMA Pronounced in open court: SHARMA Date:

2025.02.03 Dated:03.02.2025 17:36:47 +0530 (Anubhav Sharma)
CJ-01(South)Saket/New Delhi/03.02.2025 Note: -This judgment contains sixteen
pages and all the pages have been checked and signed by me.

ANUBHAV by ANUBHAV SHARMA SHARMA Date: 2025.02.03 17:36:51 +0530
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Date:

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